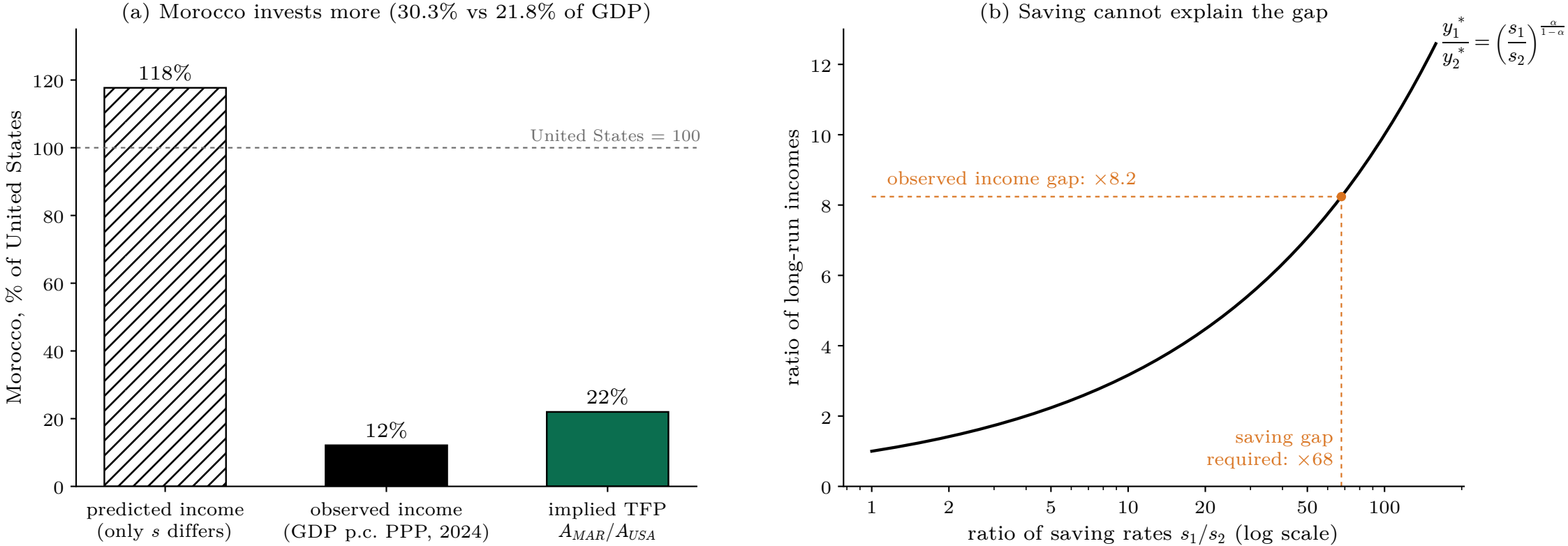

Fig. 8: Confronting Solow with the data: through the lens of the model, A accounts for most of the income gap.